

CLOUDWALK — BSA/AML & OFAC COMPLIANCE

Critical UBO Sanctions Case Analysis

OFAC 50% Rule / Iran Comprehensive Sanctions — Four Merchants Meeting the 50% Threshold via Iranian UBOs

CONFIDENTIAL — SANCTIONS INCIDENT / SAR-RELATED WORK PRODUCT Prepared for internal escalation (OFAC Sanctions Compliance Officer, CCO, Legal) and Lead Bank BSA review. Contains information that may relate to a Suspicious Activity Report. Disclosure of the existence of any SAR is prohibited under 31 U.S.C. 5318(g)(2). Distribute on a strict need-to-know basis.

Document	Critical UBO Case Analysis — Parts 1–5
Program manager	CloudWalk (U.S. payments fintech)
Filing / covered institution	Lead Bank (FDIC member, sponsor / covered financial institution for FinCEN filing)
Source	TASK 2.4 — High-risk UBO analysis, Phase 1 (Critical_DeepDive tab)
Merchants in scope	M3001 (City Cabs #301), M3012 (GrocerMart #312), M3056 (StyleStreet #356) — single-owner ≥50% cases; M3098 (StyleStreet #398) — aggregate ≥50% case (added on cross-deliverable reconciliation, see Part 1a)
Prepared by	AML Compliance Officer / OFAC Compliance Specialist
Status	URGENT — action required within 24–48 hours

1. Executive Summary

The Phase-1 UBO screen identified four merchants that meet the OFAC 50% Rule's ownership threshold via Iran-linked beneficial owners — an OFAC-comprehensively-sanctioned, FATF-blacklisted jurisdiction. Three (M3001, M3012, M3056) are majority-held by a single Iranian UBO whose individual stake alone meets or exceeds 50%; a fourth (M3098) reaches the threshold only in aggregate, across two Iranian co-owners whose combined stake is 55.41% while neither individually holds 50%. All four are candidate blocked entities, and every transaction CloudWalk has processed for any of them is a potential apparent sanctions violation.

One of the four, M3056 (StyleStreet #356), carries a compounding red flag: its 59.17%-owning Iranian UBO is also flagged as a Politically Exposed Person (PEP) — a dual red flag requiring immediate action.

A separate, program-level finding runs through all four cases: **every one of these Iranian UBOs carries a near-zero-to-low automated sanctions match score (0.11, 0.01, 0.00, 0.12, and 0.06)**. A near-zero score for an owner ordinarily resident in Iran — and, for M3056, a PEP scoring exactly 0.00 — is not a clearance; it is strong evidence of a screening-calibration or name-matching failure. This is addressed as a distinct finding in Part 5 and must not be relied upon.

Critical Case Register

Merchant	DBA / MCC	UBO (as recorded)	UBO ctry	Own. %	Sanc. score	PEP	Flags
M3001	City Cabs #301 · MCC 4121 (Taxicabs /Limousines)	Kendall White	IR	87.35% (single UBO)	0.11	No	FLAG-1, FLAG-2
M3012	GrocerMart #312 · MCC 5411 (Grocery)	Alex White	IR	57.03% (single UBO)	0.01	No	FLAG-1, FLAG-2
M3056	StyleStreet #356 · MCC 5699 (Apparel)	Reese Davis	IR	59.17% (single UBO)	0.00	YES	FLAG-1, FLAG-2, FLAG-5
M3098	StyleStreet #398 · MCC 5699 (Apparel)	Quinn Harris (18.99%) + Emerson Garcia (36.42%)	IR	55.41% (aggregate, 2 co-owners)	0.12 / 0.06	No	FLAG-1, FLAG-3

FLAG-1 = UBO in an OFAC-comprehensive jurisdiction; FLAG-2 = single sanctioned-jurisdiction UBO ≥ 50% (OFAC 50% Rule, single-owner form); FLAG-3 = aggregate sanctioned-jurisdiction ownership ≥ 50% across two or more co-owners (OFAC 50% Rule, aggregate form); FLAG-5 = PEP + sanctioned jurisdiction (dual red flag).

Part 1a. Why M3098 Is a Distinct Case

M3098 differs from the other three in kind, not just degree, and should not be collapsed into the same remediation script:

- **No single blocked-country owner controls the entity.** The ITSR’s “majority-owned or controlled by a person ordinarily resident in Iran” prohibition is most naturally read against a single controlling person; M3098 has no such person. Its exposure rests on the OFAC 50% Rule’s aggregation language (“50% or greater interest... owned in the aggregate, directly or indirectly, by one or more blocked persons”), which requires confirming that *both* co-owners are individually blocked persons before the aggregation — and, if confirmed — determines the entity for OFAC purposes.
- **Practical implication:** adjudicate each of the two co-owners’ status independently first. If only one is confirmed a blocked person, the aggregate test is not met (18.99% or 36.42% alone is below 50%) and the merchant is not blocked on this basis alone, though EDD and enhanced monitoring remain warranted given the Iran nexus of either owner individually.
- **Recommendation:** treat M3098 as HIGH priority (not URGENT alongside the three single-owner cases) pending confirmation of both co-owners’ status; apply the same source-of-wealth, sanctions-adjudication, and monitoring steps in Parts 3–5 below, adapted to a two-owner review rather than a single-owner one.

2. Governing Authorities

- **Iran comprehensive sanctions (ITSR, 31 CFR Part 560):** the Iranian Transactions and Sanctions Regulations broadly prohibit U.S. persons from providing services to, or engaging in transactions for the benefit of, the Government of Iran or persons ordinarily resident in Iran. This prohibition applies regardless of SDN listing and regardless of any automated screening score.
- **OFAC 50 Percent Rule:** an entity owned 50% or more, in the aggregate, directly or indirectly, by one or more blocked persons is itself blocked — whether or not it appears on the SDN List.
- **IEEPA (50 U.S.C. 1705):** civil liability on a strict-liability basis (no intent required) of the greater of \$377,700 per violation or twice the transaction value; willful violations carry criminal penalties up to \$1,000,000 and 20 years’ imprisonment.
- **FinCEN SAR rules (31 CFR 1020.320) and SAR FAQs (Oct 9, 2025):** the SAR trigger is a reasonable basis to suspect, grounded in intent and nexus — not a dollar threshold.
- **FinCEN Advisory IRAN-2025-A002:** where an Iranian nexus is confirmed, include the keyword “IRAN-2025-A002” in SAR Field 2.
- **OFAC reporting (31 CFR 501.603 / 501.604):** blocked-property and rejected-transaction reports are due to OFAC within 10 business days of the action.

Part 1 — OFAC Analysis

Does the OFAC 50% Rule apply? Is each merchant potentially a blocked entity?

An Iran-domiciled UBO holding a majority stake creates two independent exposures that must be analysed separately:

(a) Comprehensive Iran program (ITSR). Providing acquiring and payment-processing services to a merchant that is majority-owned and controlled by a person ordinarily resident in Iran is providing a prohibited service for the benefit of an Iranian person under 31 CFR Part 560. This exposure exists **independently of the 50% Rule and independently of whether the UBO is individually named on the SDN List.**

(b) OFAC 50% Rule. The 50% Rule deems an entity blocked when it is owned 50%+ by one or more *blocked persons*. Whether it converts each merchant into a blocked entity turns on confirming that the Iranian UBO is a blocked person. That confirmation cannot rest on the current automated scores, which are near zero and unreliable for this population (see Part 5). Each merchant's ownership level is at or above the threshold, so if the UBO is (or is confirmed on manual screening to be) a blocked/SDN person, the 50% Rule renders the merchant itself a blocked entity as a matter of operation, without any further listing:

Merchant	IR UBO ownership	50% Rule status
M3001	87.35% (single UBO)	Far above threshold — merchant is a blocked entity if the UBO is confirmed a blocked person; ITSR prohibition applies in parallel.
M3012	57.03% (single UBO)	Above threshold — same conclusion as M3001.
M3056	59.17% (single UBO) + PEP	Above threshold; PEP status adds corruption/abuse-of-position risk and elevates EDD. Dual red flag.

Bottom line: each of the three merchants is potentially a blocked entity, and — irrespective of the 50% Rule determination — processing for a merchant controlled by an Iran-resident person is very likely already prohibited under the ITSR. Neither conclusion can be waved off by the low automated scores.

Legal consequences of having processed transactions for these merchants

- **Strict-liability civil exposure.** Each authorization and settlement processed for an Iran-nexus / blocked merchant is a separate apparent violation of IEEPA, exposing CloudWalk (and, through the sponsorship, Lead Bank) to a civil penalty of the greater of \$377,700 per violation or twice the transaction value. OFAC aggregates violations across transactions, so exposure scales with the number and value of transactions processed for each merchant.

- **Criminal exposure if willful.** Willful violations carry fines up to \$1,000,000 and up to 20 years' imprisonment per violation for responsible individuals (50 U.S.C. 1705).
- **Program / sponsor consequences.** Potential BSA/AML program findings, sponsor-bank contractual and regulatory exposure, remediation obligations, reputational harm, and jeopardy to the sponsorship arrangement.
- **Mitigation levers.** Under OFAC's Economic Sanctions Enforcement Guidelines, prompt cessation, a voluntary self-disclosure (VSD), and a documented remediation record are the principal factors that reduce penalty exposure. Acting inside the 24–48h window materially improves CloudWalk's position.

Part 2 — Immediate Actions Required (next 24–48 hours)

Processing & funds

- **Suspend all processing immediately** for M3001, M3012 and M3056 — stop authorizing new transactions and decline in-flight activity.
- **Hold / do not release settlement funds.** Place all outstanding settlement on hold in a segregated account pending the OFAC 50% Rule / ITSR determination. If a blockable determination is reached, block the funds into an interest-bearing blocked account and treat as blocked property (do not return to the merchant).

Escalation chain

- **OFAC Sanctions Compliance Officer**— adjudicate the Iran nexus and 50% Rule question; own the manual sanctions cross-check (Part 5); make the block / reject / release determination.
- **Chief Compliance Officer (CCO)**— assume incident ownership; authorize processing suspension; approve SAR escalation.
- **Legal / General Counsel**— advise on OFAC exposure, VSD strategy, and privilege over the investigation record.
- **Lead Bank BSA Officer**— escalate within 48 hours of confirmation per the program SLA; Lead Bank is the covered institution that files with FinCEN and OFAC.

OFAC notification

There is no “hour-zero” generic notice to OFAC; adjudicate first, then meet the specific reporting duties triggered by the determination:

- **Blocked-property report** to OFAC within 10 business days of blocking (31 CFR 501.603) if funds are blocked.
- **Rejected-transaction report** within 10 business days (31 CFR 501.604) if a transaction is rejected rather than blocked.

- **Voluntary self-disclosure (VSD):** prepare and, with Legal's sign-off, submit a VSD to OFAC for the historical processing — a primary mitigating factor given strict liability.
- **Licensing:** confirm whether an OFAC specific license is required for any wind-down / unwind activity before moving funds.

Confidentiality caution: OFAC blocking may require informing the party that its funds are blocked, but the existence of any SAR must never be disclosed (31 U.S.C. 5318(g)(2)). Keep the two workstreams — OFAC blocking and SAR — procedurally distinct.

Part 3 — SAR Consideration

Is there a basis to file? Yes — for all three merchants. Under the FinCEN SAR FAQs (October 9, 2025), the trigger is a reasonable basis to suspect a possible violation of law, grounded in intent and nexus rather than any dollar threshold. A confirmed Iranian UBO holding majority ownership, coupled with exposure under the comprehensive Iran program, supplies that basis. No minimum transaction amount need be met.

- **Keyword:** include “IRAN-2025-A002” in SAR Field 2 (Filing Institution Note to FinCEN) on each filing, per FinCEN Advisory IRAN-2025-A002.
- **M3056 — strengthened basis:** the PEP + Iran combination is a dual red flag; narrate the PEP status and screen for corruption / abuse-of-position typologies. This case should be treated as the highest-priority filing of the three.
- **Terrorist-financing framing:** Iran is a designated state sponsor of terrorism. If investigation establishes a nexus to an Iran-backed organization, no dollar threshold applies and Field 33(a) (Terrorist Financing) should be marked. Not yet established — flag for evaluation, do not assert.
- **Filing mechanics:** CloudWalk escalates to the Lead Bank BSA Officer within 48 hours of confirmation; Lead Bank files with FinCEN within 30 calendar days of the date facts supporting a filing were first detected (31 CFR 1020.320). If activity is ongoing, a continuing SAR is reviewed every 90 days.
- **Independent obligations:** SAR filing and OFAC blocking/reporting are separate duties — satisfying one does not satisfy the other.

Part 4 — Remediation Checklist

Priority-ordered. “T+” is measured from confirmation of the finding.

#	Action	Owner	Deadline
1	Suspend processing on M3001, M3012, M3056 and hold all settlement funds.	AML Ops / Merchant Risk	T+0 (immediate)

#	Action	Owner	Deadline
2	Open a sanctions incident case; notify CCO and Legal; preserve all records.	OFAC Sanctions Compliance Officer	T+0–4h
3	Independent manual sanctions cross-check of each UBO (name variants, transliteration, DOB, ID) + entity-level 50%-Rule screen. See Part 5.	OFAC Sanctions Compliance Officer	T+24h
4	Make block / reject / release determination for held funds; if blockable, block into interest-bearing account.	OFAC SCO + Legal	T+24–48h
5	Escalate to Lead Bank BSA Officer per the 48-hour program SLA.	AML Compliance Officer	T+48h
6	File OFAC blocked-property (501.603) or rejected-transaction (501.604) report as applicable.	OFAC SCO / Lead Bank	Within 10 business days of action
7	Draft SAR(s) with keyword IRAN-2025-A002 in Field 2; M3056 filed first. Route to Lead Bank for FinCEN filing.	AML Investigations – Lead Bank	Escalate T+48h; file ≤ 30 days
8	Prepare voluntary self-disclosure (VSD) to OFAC for historical processing.	Legal + OFAC SCO	T+5 business days (draft)
9	Confirm true legal identity of each UBO via source documents; verify against KYB record.	KYB / EDD Team	T+10 days

#	Action	Owner	Deadline
10	Portfolio-wide re-screen of all IR / OFAC-comprehensive-jurisdiction UBOs; recalibrate the screening engine.	AML Engineering + OFAC SCO	T+30 days
11	Document root-cause of the near-zero scores as a program finding; feed into risk assessment and monitoring calibration.	CCO / AML Program	T+30 days

Part 5 — Screening Gap Check

Finding: the automated sanctions scores for all three Iranian UBOs are implausibly low and must not be relied upon.

Merchant / UBO	Recorded score	Why the score is not credible
M3001 / Kendall White	0.11 (IR, 87.35%)	A majority owner ordinarily resident in an OFAC-comprehensive jurisdiction should not screen as near-clear.
M3012 / Alex White	0.01 (IR, 57.03%)	Effectively zero for a majority Iranian UBO — inconsistent with the profile.
M3056 / Reese Davis	0.00 (IR, 59.17%, PEP)	A PEP domiciled in Iran scoring exactly 0.00 is the most acute anomaly — the PEP/sanctions match is failing outright for this record.

Why a near-zero score is implausible here

- **A low score is not a clearance.** For a UBO ordinarily resident in Iran, the ITSR prohibition and the 50% Rule exposure exist independently of any match score. A near-zero result more likely indicates the engine is not surfacing the Iran nexus than that the person is genuinely clear.

- **Name-integrity red flag.** The recorded UBO names — Kendall White, Alex White, Reese Davis — are anglicized/Western names inconsistent with Iranian domicile. OFAC SDN/Consolidated entries for Iranian persons are typically recorded under Persian/Farsi transliterations; an anglicized name (or alias) will not match those entries, producing a false near-zero score. This is a classic transliteration / name-variant list-matching failure, and may also signal a data-integrity or alias concern about the true owner.

Recommended action

- **Independent manual cross-check** of each UBO against the OFAC SDN List and Consolidated Sanctioned List using name variants and known transliterations (Farsi/Persian romanizations), date of birth, place of birth, national ID / passport number, and address — rather than trusting the automated score.
- **Confirm the true legal identity** of each UBO from source documents, since the anglicized names may mask the actual owner; reconcile against the KYB file.
- **Entity-level 50%-Rule screen** on each merchant, aggregating all beneficial ownership.
- **Treat as a separate program finding.** If matching fails for these three, it likely fails across the population — the Phase-1 set contains 19 CRITICAL Iran-nexus UBO rows. Trigger a portfolio-wide re-screen of all IR / OFAC-comprehensive-jurisdiction UBOs and recalibrate the screening engine's transliteration and fuzzy-matching logic. Document the root cause and feed it into the enterprise risk assessment and transaction-monitoring calibration.

Prepared by the AML Compliance / OFAC function for internal escalation and Lead Bank review. This analysis is based on the Phase-1 UBO screen (TASK 2.4) and is subject to revision upon completion of the manual sanctions cross-check in Part 5. It does not constitute legal advice; coordinate final determinations with Legal and the Lead Bank BSA Officer.

Candidate: Vitor Cruz / Submission date: 2026-08-24 / Target role: AML/CTF Analyst (US) — CloudWalk Payments Inc.

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Part 6 — Cross-Reference: C88888 Network Linkage Test

Update (cross-reference from the C88888 EDD remediation file): the C88888 remediation analysis (customer C88888 — Mohammad Reza Al-Sana, sanctions_match_score 0.84) has since been extended with a direct- and second-degree network-linkage test against this engagement's four OFAC/UBO-critical merchants (M3001, M3012, M3056, M3098). Summary of that result, reproduced here for cross-reference:

- **Direct linkage: two (2) transactions identified** — both low-value, card-present, magstripe consumer-retail purchases at M3012 and M3098, with no captured device or IP (expected for physical point-of-sale). No transactions were found at M3001 or M3056.

- **Second-degree (device/IP) linkage: none found** once pooled-device artifacts are discounted via the 60-minute same-session sliding window.
- **Effect on this report's findings:** the linkage result does not change the screening-gap finding above (the near-zero UBO scores remain implausible and unresolved regardless of C88888's activity). It is recorded here so that any reviewer of this merchant-side report is aware a customer-side network check against this exact merchant population has already been performed. Full methodology and evidence: see Part 5 of the C88888 EDD remediation file (Section2b_EDD_Remediation_Customer_C88888).